

Somewhere safe

Children the world over are taught that it's wise to save money rather than spend it, to put at least some of their money somewhere safe for the future. By putting a little bit of money away regularly, the savings gradually mount up, so that in time there'll be enough to pay for things that you wouldn't normally be able to afford. Another reason for saving is to have some money in case of emergencies, unexpected expenses such as repairing or replacing a faulty computer. The image of a piggy bank is a familiar one, and is often used to represent the idea of saving, but there are better ways of saving than putting money to one side, especially if it's more than just a few coins. For one thing, your money will be safer from theft in a bank, but more importantly the bank will pay interest on any money you save, helping it to grow more quickly.

**IF YOU WOULD BE WEALTHY THINK OF
SAVING AS WELL AS GETTING.**

BENJAMIN FRANKLIN

Growing your money

There are many different types of bank account, and some of them are specifically designed for savers. These tend to offer the best rates of interest, which means that money is added to the funds in the account, by the bank, on a regular basis, usually monthly or yearly. For example, if you have a lump sum of \$100, perhaps a gift or inheritance from a relative, that you want to save, you can put this into a savings account that pays 10 percent per year. After a year, the money will have grown by 10 percent to \$110, but because this is what's called compound interest, the next year it will grow by 10 percent of \$110, giving you an extra \$11 rather than \$10. There's a handy way